

1-2 Why Study Global Business?

Global business (or IB) is one of the most exciting, most challenging, and most relevant subjects offered by business schools. Why study it? [Table 1.1](#) outlines three compelling reasons.

Learning Objective 1-2

Give three reasons why it is important to study global business.

Table 1.1

Why Study Global Business?

- Enhance your employability and advance your career in the global economy
- Better preparation for possible expatriate assignments abroad
- Stronger competence in interacting with foreign suppliers, partners, and competitors, and in working for foreign-owned employers in your own country

First, you don't want to be a loser. Mastering global business knowledge helps advance your employability and career in an increasingly competitive global economy. Take a look at the Opening Day Quiz in [Table 1.2](#). Can you answer all the questions correctly? If not, you will definitely benefit from studying global business.

Table 1.2

Opening Day Quiz

1. Which country made the shirt you are wearing?
 - a. (A) China
 - b. (B) Malaysia

- c. (C) Mexico
- d. (D) Romania
- e. (E) US

2. Which country made your mobile device?

- a. (A) China
- b. (B) Germany
- c. (C) Singapore
- d. (D) Taiwan
- e. (E) US

3. How many member countries does the G-20 have?

- a. (A) 20
- b. (B) 21
- c. (C) 22
- d. (D) 19
- e. (E) 18

4. Which city has the largest number of *Fortune* Global 500 company headquarters? (operational headquarters where top executives go to work, not place of registration)

- a. (A) Beijing
- b. (B) Hong Kong
- c. (C) London
- d. (D) New York
- e. (E) Tokyo

5. A 2,000-employee manufacturing plant is closing in a developed economy, and production is moving to an emerging economy. How many of the 2,000 jobs will the company keep?

- a. (A) 0

- b. (B) 5–10
- c. (C) 10–20
- d. (D) 20–30
- e. (E) 30–50

The answer to [Question 1](#) is empirical—that is, based on data. You should guess first and then look at the label of your shirt yourself or ask a friend to help you. The key here is international trade. Do you wear a shirt made in your own country or another country? Why?

In [Question 2](#), smart students typically ask whether the mobile device (such as a smartphone or an iPad) means the motherboard or the components. My answer is: “I mean the whole device, all the production that went into making the machine.” Then some students respond: “But they could be made in different countries!” My point exactly. Specifically, the point here is to appreciate the complexity of a global value chain, with different countries making different components and handling different tasks. It is likely the tiny components inside your mobile device have crossed borders a dozen or more times. Such a value chain is typically managed by an MNE—such as Apple, Dell, Foxconn, HP, Lenovo, or Samsung. The capabilities necessary to organize a global supply chain hints at the importance of resources and capabilities—one of the two key themes of this book.

[Question 3](#) is deceptively simple. Unfortunately, 100% of my own students—ranging from undergraduates to PhDs—*miss* it. Surprise! The



[**Group of 20 \(G-20\)** \(The group of 19 major countries plus the European Union \(EU\) whose leaders meet on a biannual basis to solve global economic problems.\)](#)

only has 19 member countries. The 20th member is the European Union (EU)—a regional bloc, not a single country. Ideally, why the G-20 is formed in such an interesting way will make you more curious about how the rules of the game are made around the world. In this case, why are 19 countries in, but numerous others out? What is special about the EU? Why are other regional blocs not included in the G-20? A focus on the rules of the game—more technically, institutions—is another key theme of the book.

[Question 4](#) is interesting. Most of my own students pick New York, which has the *third*-largest number of headquarters of *Fortune* Global 500 companies (measured by sales). Beijing now has 52 *Fortune* Global 500 headquarters, followed by 41 in Tokyo, which until recently dethroned by Beijing had had the largest cluster of *Fortune* Global 500 headquarters. In comparison, New York has 20 such headquarters (17 in New York City and three outside the city). The rise of Beijing is indicative of the changing global economic winds, which have propelled China to become the world’s second-largest economy in the years between the second and third editions of this book. To gain a better understanding of

global economy, you need to pay more attention to companies based in Beijing (and in China and other emerging economies).

Do you know Beijing now has the world's largest number of *Fortune* Global 500 headquarters?



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Question 5 will really frighten you. Some students typically clarify: “Do you mean the few security guards looking after the closed plant?” “Not necessarily,” I point out. “The question is: How many jobs will be kept by the *company*?” Students eventually get it: even adding a few jobs as security guards at the closed plant, the most optimistic estimates are that only 30 to 50 jobs may be kept. Yes, you guessed it: these jobs typically are high-level positions such as the CEO, CFO, CIO, factory director, and chief engineer. These managers will be sent by the MNE to start up operations in an emerging economy. You need to realize that in a 2,000-employee plant, even if you may be the 51st-highest-ranked employee, your fate may be the same as the 2,000th employee. You really need to work hard and work smart to position yourself as one of the top 50 (preferably one of the top 30). Doing well in this class and mastering global business knowledge may help make that happen.

In addition to the first reason to equip you with relevant knowledge, the second compelling reason why you should study global business is related to Question 5. Because many ambitious students aspire to join the top ranks of large firms, expertise in global business is often a prerequisite. Today, it is increasingly difficult, if not impossible, to find top managers at large firms without significant global competence. Of course, eventually, hands-on experience, not merely knowledge acquired from this course, will be required. However, mastery of the knowledge of, and demonstration of interest in, global business during your education will set you apart as a more ideal candidate to be selected as an **expatriate manager (“expat”)** (A manager who works abroad, or “expat” for short.) —a manager who works abroad—to gain such an experience (see Chapter 15 for details).

Thanks to globalization, low-level jobs not only command lower salaries, but are also more vulnerable. However, high-level jobs, especially those held by expats, are both financially rewarding and relatively secure. Expats often command a significant [international premium \(A significant pay raise when working overseas.\)](#) in compensation—a significant pay raise when working overseas. In US firms, an expat's total compensation package is approximately US\$250,000 to US\$300,000 (including perks and benefits; not all is take-home pay). When they return to the United States after a tour of duty (usually two to three years), a firm that does not provide attractive career opportunities to experienced expats often finds them to be lured away by competitor firms. Competitor firms also want to globalize their business, and tapping into the expertise and experience of these former expats makes such expansion more likely to succeed. And yes, to hire away these internationally experienced managers, competitor firms have to pay an even larger premium. This indeed is a virtuous cycle. This hypothetical example is designed to motivate you to study hard so that, someday, you may become one of these sought-after globetrotting managers. But even if you don't want to be an expat, you really don't want to join the army of the unemployed due to factory closings and business failures (see [Figure 1.3](#)).

Figure 1.3

Jobs Outsourced

Source: *Harvard Business Review*, April 2012: 34.

Lastly, even if you do not aspire to compete for the top job at a large company and instead work at a small firm or are self-employed, you may find yourself dealing with foreign-owned suppliers and buyers, competing with foreign-invested firms in your home market, or perhaps even selling and investing overseas. Alternatively, you may find yourself working for a foreign-owned firm, your domestic employer acquired by a foreign player, or your unit ordered to shut down for global consolidation. Understanding how global business decisions

are made may facilitate your own career in such firms. If there is a strategic rationale to downsize your unit, you want to be prepared and start polishing your résumé right away. In other words, it is your career that is at stake. Don't be the last in the know!

Chapter 1: Globalizing Business: 1-2 Why Study Global Business?

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